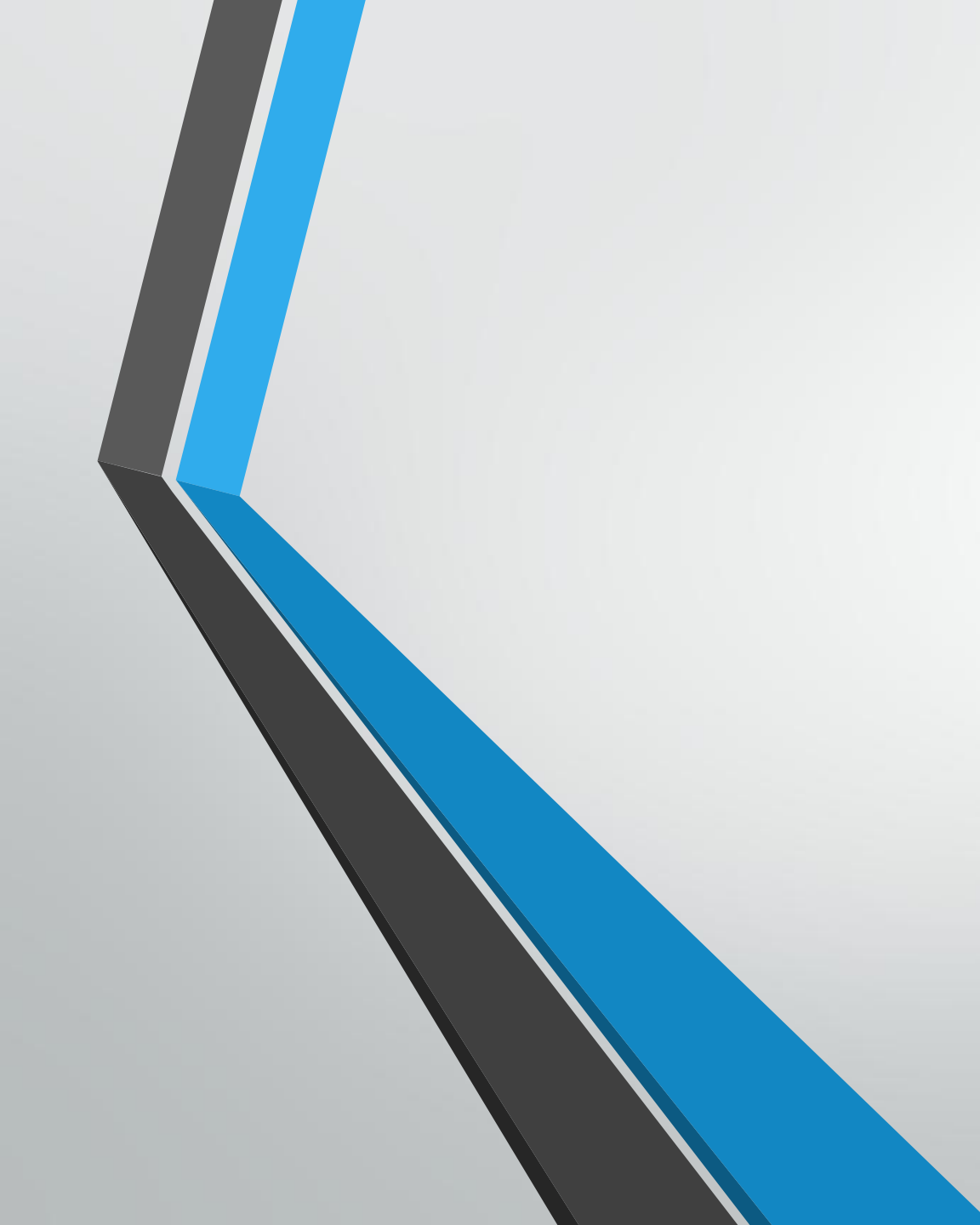




IT Procurement Management

IS4105- Lecture 07

Presenter- PKDK Kaushalya

Procurement Performance Review



What is meant by procurement performance review?

- It is a structured, data-driven process that evaluates the efficiency, effectiveness, and outcomes of an organization's purchasing activities, focusing on metrics like cost savings, supplier reliability, and compliance
- It assesses both operational outputs and strategic outcomes to improve the procurement process.

Objectives of Procurement Performance Review



Assess efficiency

Checking whether procurement is done **quickly, smoothly, and without wasting resources**



Evaluate cost effectiveness

Checking if you are **getting good value for the money spent**



Ensure quality of goods/services

Checking if the items or services procured meet the required **standards, specifications, and expectations**



Monitor supplier performance

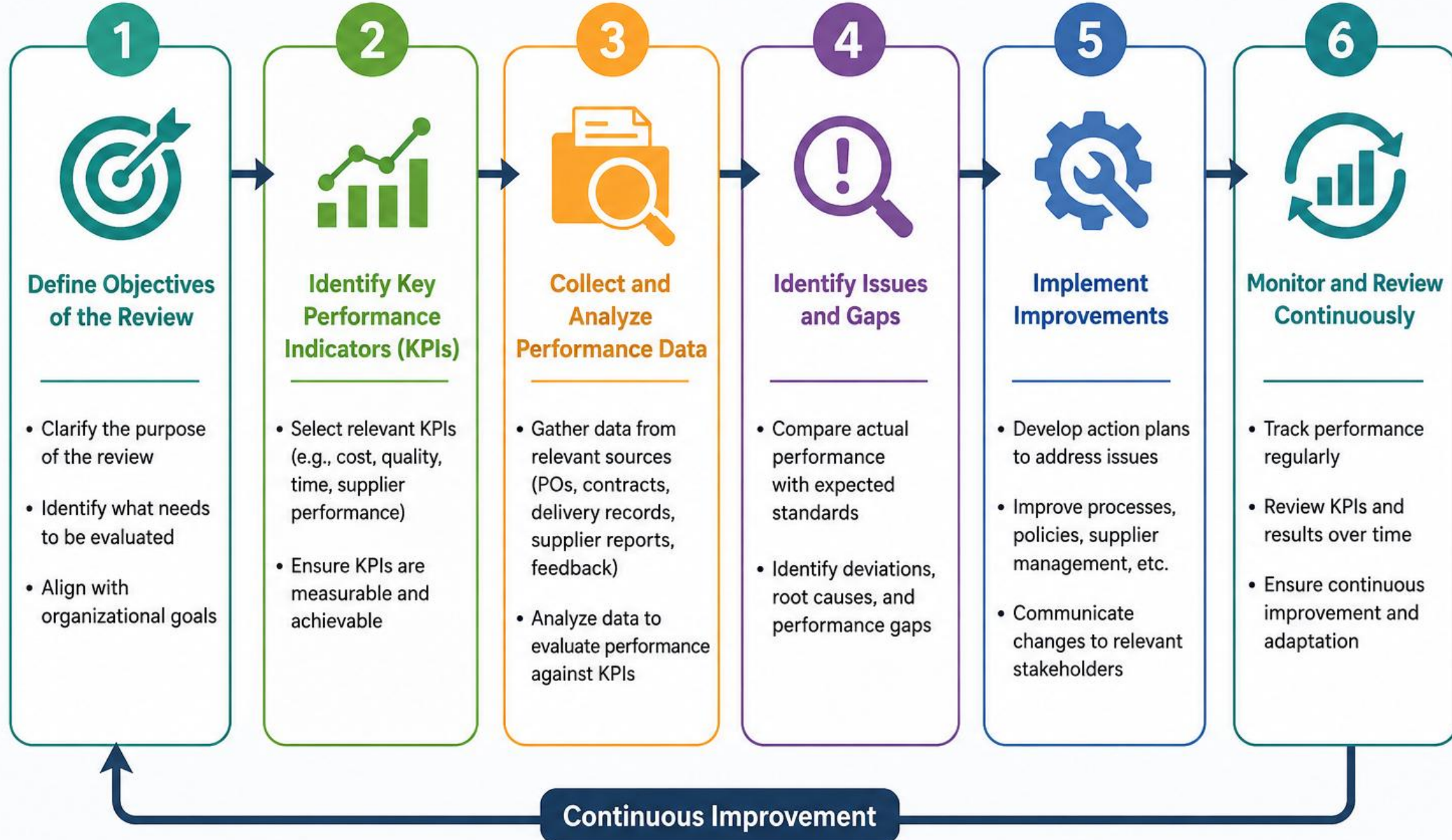
Checking whether the **supplier is reliable, timely, and delivering good quality consistently**



Improve future procurement decisions

Learning from past mistakes and successes to improve future purchasing activities

STEPS IN PROCUREMENT PERFORMANCE REVIEW



Key Performance Indicators (KPIs)

Cost Performance

- Budget vs actual cost
- Cost savings

Time Performance

- Product/ Service delivery time
- Procurement cycle time
- System implementation time

Quality Performance

- Defect rate
- Compliance with specifications

Supplier Performance

- Reliability
- Responsiveness
- Flexibility

Compliance Performance

- Adherence to procurement policies
- Legal compliance



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- **Tools and Measurement Methods**